

HEDGEYE DAILY DIGEST

Tuesday, September 15, 2026 (EDT) · compiled 07:24 GMT+8, Wed 16 Sep 2026

Keith McCullough is turning the book defensive into a bond yield breakout. The UST 10yr top-end Risk Range has pushed to a new cycle high of 5.05%, with a Fed hike priced at roughly 94% — and the reflexive casualty list now includes Gold Miners (GDX, fully sold), Copper (CPER, broke TREND), Silver (SLV, sold) and the entire Semiconductor complex, which Hedgeye calls “the epicenter of the bubble.” The long book has been cut from a maximum ~30 names to ~20-21, the Russell 2000 (IWM) is now an official short, and what remains long is concentrated in Software (IGV) and Healthcare (XLV) — the two places where signal and fundamentals still agree.

Coverage window: Hedgeye's Tuesday, September 15 (EDT) session is treated as “Today” and Monday, September 14 (EDT) as “Yesterday”. Hedgeye timestamps are converted to GMT+8 by adding 12 hours. At the time of this run (07:24 GMT+8 on September 16) Hedgeye's September 16 EDT publications had not yet been released.

TODAY'S PUBLICATIONS

EARLY LOOK — “Hedgeye For Financial Advisors”

Early Look · 09/15/26 07:43 AM EDT (19:43 GMT+8) · Keith McCullough

Keith opens on a Jeff Hawkins quote — “There are numerous ways today's artificial intelligence falls short of human intelligence” — and uses it to frame both the AI cycle and the Old Wall advisory model. Hawkins' A Thousand Brains documents how the AI field has cycled through “AI summers and AI winters” since the late 1940s. McCullough's read: markets are “coming out of the most expensive AI summer in market history” and “winter is coming.”

The operative macro call is the **bond yield breakout**. Hedgeye's **Street High US Inflation Nowcast** continues to accelerate, pressured higher by Bullish TRADE and TREND signals on Oil. The levels that matter: **4.98%** was the **2023 cycle high**, **5.29%** was the **2007 cycle high**, and the current top-end of the Risk Range™ Signal sits at **5.05%**. McCullough's conclusion is binary — either inflation does not slow fast enough for the Fed to avoid hiking, or **if the Fed flakes, the bond market has already raised rates for it**. On Treasury Secretary Bessent's attempts to talk the curve down: “The House is The Bond Market, not a human hoping to manipulate it.”

The **Macro Hedge (Short) book** against the yield breakout is explicit: **TLT, ZROZ, LQD, JOJO, XLU**.

Gold is the reflexive casualty. Gold does not like bond yields breaking out. The **Alpha Code is 4395/4251** — **TRADE = 4395, TREND = 4251** — with a Risk Range™ of **4229-4399**. A breakdown through **4251** stops out the last of the position, which is already at **minimum position size**. All **Copper Miners (ICOP)** were sold on last week's TREND breakdown, all **Silver (SLV)** likewise, and **Dr. Copper (CPER)** broke TREND this morning.

On leadership: **Dr. KOSPI was down another -0.9% overnight**, taking its crash to **-27.3%** from its **#MOAB high** of June 2026. Hedgeye is **long Software (IGV, OKTA, NOW)**, not Semis (DRAM); **long Healthcare (XLV)**, which was **+1.5%** the prior session, against **short Industrials (XLI)**, down **-1.4%** — a short expressed two ways, via **XLI and PRN**.

Risk Range™ Signals — September 15, 2026

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Asset	Risk Range™	TREND Signal
10-Year U.S. Treasury Yield (UST10Y)	4.76% – 5.05%	Bullish
High Yield (HYG)	78.40 – 79.12	Bearish
Investment Grade Corporates (LQD)	103.7 – 105.4	Bearish
S&P 500 (SPX)	7551 – 7750	Bullish
NASDAQ Composite (COMPQ)	25915 – 26613	Neutral
Russell 2000 (RUT)	2852 – 2960	Bearish
Health Care Select Sector (XLV)	163 – 175	Bullish
Expanded Tech-Software (IGV)	100 – 111	Bullish
VanEck Oil Services (OIH)	400 – 438	Bullish
Volatility Index (VIX)	14.44 – 18.30	Bullish
U.S. Dollar Index (USD)	98.78 – 99.81	Neutral
Light Crude Oil (WTIC)	91.35 – 106.98	Bullish
Natural Gas (NATGAS)	2.74 – 2.98	Neutral
Gold Spot (GOLD)	4229 – 4399	Neutral
Copper Spot (COPPER)	6.19 – 6.53	Bearish
Silver Spot (SILVER)	60 – 65	Bearish

Investment implication: with yields breaking to cycle highs and the inflation nowcast still accelerating, the cost of capital is rising into a market whose most crowded, most levered exposure — AI/Semiconductors — is the single most vulnerable to it. Hedge duration, own the sectors whose signals still confirm (Software, Healthcare, Energy services), and respect the stop levels rather than bag-holding through the drawdown.

KM'S TOP 3 THINGS — SEPTEMBER 15

The Macro Show · 09/15/26 08:30 AM EDT (20:30 GMT+8)

RATES. New top-ends of the Risk Range™ for **UST 2yr at 4.70%** and **UST 10yr at 5.05%**, both **new cycle highs**, driven by the Street High Inflation Nowcast being pressured higher by Bullish Oil signals. Still **short duration** via **TLT, LQD, ZROZ** and **JOJO**, and still **short XLU**.

GOLD. Position kept at **MIN**; all **Gold Miners (GDX)** unloaded the prior session after **Copper Miners (ICOP)** and **Silver (SLV)** were sold last week. **Gold is TRADE Bearish (TRADE = 4399)**, **Copper broke both TRADE and TREND**. His warning: “Lots of people are still way too long of Metals Exposures.”

SECTORS. **XLI down -1.4%** that session, to **-8.3% quarter-to-date**, against **XLV +1.5%** to **+5.7% QTD**. Long **Software (IGV)** instead of Semis is described as “one of the most epic in-Sector Divergences of all-time.”

Immediate-term ranges quoted: **SPX 7551-7750**; **UST 10yr 4.76-5.05%**.

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THE MACRO SHOW — SUMMARY NOTES, TUESDAY SEPTEMBER 15

The Macro Show · 09/15/26 10:25 AM EDT (22:25 GMT+8)

The fullest picture of the positioning shift. **Bullish:** Healthcare (XLV), Software (IGV), **Okta (OKTA)**, **Roku (ROKU)**, Singapore (EWS), Spain (EWP), Corn, Wheat, Bitcoin on dips, and **Meta (META)** — flipped from **Bearish to Bullish**. **Bearish:** TLT, ZROZ, LQD, XLU, JOJO, XLI, PRN, **Russell 2000 (IWM)**, **Micron (MU)**, India (INDA), Australia (EWA).

Duration. Bond yields remain **Bullish TRADE and Bullish TREND across the curve** while the curve continues to flatten. The 10yr touched roughly **5.00%** before backing off — normal behaviour near the top of the range. A **Fed hike was priced at ~94%** for the following day, and Keith flagged that **yields could fall on the day of a hike** if the market reads it as a policy mistake or simply because yields are already at range highs.

Metals. POSITION CHANGE: **all Gold Miners (GDX) sold** the prior day, following complete exits from **ICOP** and **SLV** the prior week. Gold is **medium-term TRADE Bearish** with its trend line in play. Copper's TREND break is the stated reason he would **not be long Freeport-McMoRan (FCX)**. Guidance: use yield-driven rebounds in Gold to manage exposure, not chase.

Russell 2000. NEW POSITION: **officially short IWM**, on a large lower high, with the index already in the “chop bucket.” ETF Pro was running roughly **20 longs vs 15 shorts**; the broader signal list had deteriorated to about **46 longs vs 80 shorts**; Real-Time Alerts showed **zero longs and three shorts** at that moment.

Semis. Semiconductor exposure is **0%**. Keith rejected the benchmark-weight argument outright — Semis at **~17-18% of the S&P 500** does not oblige anyone to own them, and being “underweight” while still holding **~16%** is not risk management. He called Semis the “**epicenter of the bubble**” and singled out **triple-leveraged Semiconductor ETFs** as what makes this setup dangerous. **Nvidia was testing a trend breakdown**; **Micron (MU)** is the preferred short; **SanDisk** was removed after breaking trend; **CoreWeave** is under scrutiny as another highly levered situation.

Long book contraction. Cut from **~30 names (maximum) to ~20-21**, concentrated in Software and Healthcare — names he calls “quantamental,” where the quantitative signal and the analyst view agree.

Market structure. The **Tier 1 Alpha data flip line snapped**, with **negative gamma** and a **T reading around -3**. Short-dated vol remains complacent while implied trades at a substantial premium to realized. The **S&P 500 fell in five of the previous six sessions**. **MOVE Index** around the **low-80s**.

International. Short **India** and **Australia**, but long **Singapore** and **Spain** — explicitly not a blanket Asia short. He corrected the premise that Hedgeye is long the **Philippines**: favourable Quad setups in **Turkey** and the **Philippines** are not enough without a confirming directional signal.

Other. **Corn and Wheat** preferred within commodities; the **Euro position was exited** at favourable levels; on **Bitcoin**, “buy the dip”; **Bank of America (BAC)** explicitly not owned.

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MOMO TRACKER — AI WINTER HITS CROWDED SEMIS

Momentum Stock Tracker · 09/15/26 09:38 AM EDT (21:38 GMT+8) · Christian Drake, Ryan Ricci

The momentum dashboard headline states the day's rotation directly: the **AI winter is hitting crowded Semiconductor positioning** while **Software and Healthcare take leadership**. The body of the product is a chart and data dashboard (price, volume, volatility, sentiment) rather than narrative text, and it runs off the **Risk Range™ Signals as published that morning** — consistent with the Early Look levels above.

ETF PRO PLUS — 5 NEW CHANGES

ETF Pro Plus · 09/15/26 10:23 AM EDT (22:23 GMT+8)

ADDING Long: Global Natural Resources (GNR). ADDING Short: Global Private Equity (PSP). REMOVING Long: Biotech (XBI) (152.0-169.0), Wheat (WEAT) (25.35-28.36), Singapore (EWS) (33.06-34.79).

Removals from the long side signal a **TRADE and/or TREND break**. Note the tension with the Macro Show list, which still carried Singapore and Wheat as bullish earlier in the session — a reminder that ETF Pro runs on its own signal triggers intraday.

SIGNAL STRENGTH STOCKS — 41 STOCKS (2 ADDED, 7 REMOVED)

Signal Strength Stocks · 09/15/26 11:03 AM EDT (23:03 GMT+8)

Added: COIN, SPCX. Removed: MA, FCFS, KDP, EAT, SJM, EL, MICC. The list has contracted from **46 the prior day** and **52 on September 11** — a **-21% shrinkage in two sessions** that quantifies the breadth deterioration Keith described on the show. The removals skew defensive-consumer (**KDP, SJM, EL, EAT**), consistent with his comment that the new shorts are increasingly **cyclical consumer** names.

CAPITAL ALLOCATION PRO — DAILY DASHBOARD

Capital Allocation Pro · 09/15/26 08:47 AM EDT (20:47 GMT+8) · Andrew Nanai, David Salem

Model Portfolio changes take effect using **closing prices on Monday, September 14**. Trend and Tail levels for the **68 tracked ETFs** were last refreshed using **August 28** closing prices, on the standard 3-4 week cycle. Ticker substitution: commodity tickers **BNO (Brent)** and **USO (WTI)** added to coverage; **MBB** and **PFF** removed. The specific portfolio weights sit behind the linked subscriber dashboard.

YESTERDAY'S PUBLICATIONS

HEDGEYE DAILY DIGEST

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EARLY LOOK — “#MOAB IN AI VS. THE CYCLE”

Early Look · 09/14/26 07:31 AM EDT (19:31 GMT+8) · Keith McCullough

What: Macro Monday framing of the AI bubble against the inflation cycle, anchored on **Claude Shannon's 77-page 1948 information theory paper** — the point being that the idea is not new; **the financing of it is.**

Why: Inflation's rate of change is accelerating and will pace bond yields and the cost of capital “in a levered world of #MOAB AI debt bubbles.”

Who / What moved: **UST 2yr +26bps** and **UST 10yr +19bps** to new inflation cycle highs on the week, curve **-7bps flatter**. **CRB Commodities +1.6%** on the week (**+14.4%** trending 3-month), **WTI +9.4%** (**+20.7%** 3-month), **Copper -2.0%**, **Corn -1.2%** but **+28.8%** over three months. **Gold -1.8%** on the week, still **+3.2%** over three months. **Silver -2.3%**. In FX: **USD -0.1%** and Bearish TREND, **Yen +1.7%** and Bullish TRADE/TREND, **Colombian Peso +1.3%** (**+13.3%** trending 3-month), **Indian Rupee -1.1%** and Bearish TRADE/TREND.

Key numbers: **QQQ Alpha Code = 720/705** (TRADE 720, TREND 705); **#NazVol (VXN) breakout signal level = 22.14**. Prior-day Risk Ranges: **UST10Y 4.75-5.01%** (bullish), **SPX 7569-7747** (bullish), **Gold 4247-4473** (neutral), **Copper 6.24-6.80** (neutral).

Takeaway: **QQQ and SPY were already signaling Bearish TRADE** — which is why Keith **sold every long but one in Real-Time Alerts** the prior Friday. The open question was whether **QQQ breaks TREND support the way IWM already had** (it is now an official short). Long **Colombia (COLO)** and **Oil Services (OIH)**; back to **short India (INDA)**, partly because India is short of oil.

THE MACRO SHOW — SUMMARY NOTES, MONDAY SEPTEMBER 14

The Macro Show · 09/14/26 11:02 AM EDT (23:02 GMT+8)

What: The session where the defensive pivot was set up.

Why: Signal deterioration, not discretion. **Longs fell to 52 while shorts rose to 73** — the long list had been **over 90** at one point, so it had nearly halved.

Who / Key numbers: **KOSPI** failed the immediate-term trade level around **6,971** and fell **more than 3%**, roughly **-27%** from its **June 2026 #MOAB AI high**; back to **Bearish TRADE/TREND** on both **DRAM** and **KOSPI**. **Oil** Bullish TRADE/TREND with the risk range pointing toward **\$105-\$106 WTI**. **SPX flip line at 7,656** — a close below turns gamma negative. The **S&P failed immediate-term trade around 7,670** on the Friday. **Utilities (XLU)**, the biggest sector short, **down -6.5%**. **10yr** top-end at **5.01%**, above the 2023 highs, next level potentially **5.29%**. **Gold** reduced to minimum after failing to go bullish above the **4,380** trade level.

Takeaway: “Bessent has lost control of the bond market, or never really had it.” The curve is **flattening, not steepening** — the prior **IVOL steepener is at new cycle lows**. Long **Canadian Dollar** (the only currency long, tied to oil), **Colombian Peso** and **COLO**, **Bitcoin**, **Software**. Bearish **India**, **China**, **Japan**. New cyclical-consumer shorts surfacing: **Shake Shack (SHAK)**, **Dine Brands (DIN)**, **Tootsie Roll (TR)**. Best semiconductor short per the team: **Micron (MU)**.

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MOMO TRACKER — MAG7 (+1%), NVDA=NEUTRAL, KOSPI, QQQ & VOL CONTROL VS CTAS

Momentum Stock Tracker · 09/14/26 07:49 AM EDT (19:49 GMT+8)

What: Momentum dashboard for the session. **Who / Key numbers:** Mag7 +1% while NVDA's signal sat at **NEUTRAL** — the setup that, one session later, became a test of trend breakdown. **KOSPI** and **QQQ** flagged alongside the **vol-control vs CTA** flow dynamic. **Takeaway:** mechanical flow (vol-control supply against CTA positioning) was already identified as the amplifier risk beneath a market where index-level strength masked deteriorating internals.

CAPITAL ALLOCATION PRO — MODEL PORTFOLIO CHANGES, EFFECTIVE 9/14/2026

Capital Allocation Pro · 09/14/26 12:56 PM EDT (Sept 15, 00:56 GMT+8)

What: Model Portfolio changes executed at **Monday September 14 closing prices**. **Why:** Regular rebalance under the Hubble algorithm framework, alongside coverage housekeeping (**BNO/USO in, MBB/PFF out**; Trend and Tail levels for **68 ETFs** last refreshed at **August 28** closes). **Takeaway:** the specific weight changes sit behind the subscriber dashboard link and were not reproduced in the feed text.

SIGNAL STRENGTH STOCKS — 46 STOCKS (2 ADDED, 8 REMOVED)

Signal Strength Stocks · 09/14/26 11:17 AM EDT (23:17 GMT+8)

What: The list fell from **52 to 46** on net **-6**, ahead of the further drop to **41** the following session. **Takeaway:** two consecutive sessions of heavy removals against minimal additions is the cleanest quantitative expression of the breadth problem underpinning the whole week's positioning shift.